54. Consider the following statements:

1. Capital Adequacy Ratio (CAR) is the amount that banks have to maintain in the form of their own funds to offset any loss that banks incur if the account-holders fail to repay dues.

2. CAR is decided by each individual bank.

Which of the statements given above is/are correct?

(a) 1 only (b) 2 only
(c) Both 1 and 2 (d) Neither 1 nor 2

Ans. (a) : Capital Adequacy Ratio (CAR) is the ratio of a banks capital in relation to its risk weighted assets and current liabilities. It is decided by central banks and bank regulations to prevent commercial banks from taking excess leverage and becoming insolvent in the process.

55. Which one of the following links all the ATMs in India?

(a) Indian Banks Association
(b) National Securities Depository Limited
(c) National Payments Corporation of India
(d) Reserve Bank of India

Ans. (c): National Financial Switch (NFS) is the largest network of shared Automated Teller Machines (ATMs) in India. It was designed, developed and deployed by the Institute for Development and Research in Banking Technology (IDRBT) in 2004, with the goal of inter-connecting the ATMs in the counting and facilitating convenience banking.
It is run by the National payments corporation of India (NCPI). NCPI is an umbrella organisation for all retail payments in India. It was set up with the guidance and support of the Reserve Bank of India (RBI) and Indian Banks Association (IBA). The correct option is (c).

56. With reference to digital payments, consider the following statements:

1. BHIM app allows the user to transfer money to anyone with a UPI-enabled bank account.

2. While a chip-pin debit card has four factors of authentication, BHIM app has only two factors of authentication.

Which of the statements given above is/are correct?

(a) 1 only (b) 2 only
(c) Both 1 and 2 (d) Neither 1 nor 2

Ans. (a): Bharat interface for money (BHIM) is a payment app that allows simple, easy and quick transactions using a unified payments interface (UPI). The money can be sent through direct bank payment to anyone on UPI using their UPI ID or scanning their QR with the BHIM app statement (1) is correct.

- There are three levels of authentication that are required in this app. One is the device ID and mobile number, then the bank account which you are linking to this app and finally the UPI pin, which is needed to complete the transaction, whereas chip-pin debit cards only has two factors of authentication that is card and pin. Statement (2) is incorrect.

57. Which one of the following statements correctly describes the meaning of legal tender money ?

(a) The money which is tendered in courts of law to defray the fee of legal cases
(b) The money which a creditor is under compulsion to accept in settlement of his claims
(c) The bank money in the form of cheques, drafts, bills of exchange, etc
(d) The metallic money in circulation in a country

Ans. (b) : Legal tender is any official medium of payment recognized by law that can be used to extinguish a public or private debt or meet a financial obligation. The national currency is legal tender in practically every country. A creditor is obligated to accept legal tender toward repayment of a debt.

58. Consider the following statements :

1. The Reserve Bank of India manages and services Government of India Securities but not any State Government Securities.

2. Treasury bills are issued by the Government of India and there are no treasury bills issued by the State Governments.

3. Treasury bills offer are issued at a discount from the par value.

Which of the statements given above is/are correct ?

(a) 1 and 2 only (b) 3 only
(c) 2 and 3 only (d) 1, 2 and 3

Ans. (c): There are two types of bills viz. Treasury Bills and commercial bills. Treasury Bills are issued by the central Government, commercial bill are issued by financial institutions.
Reserve Bank of India maintains the Principal Accounts of Central as well as State Government at its Central Account Section, Nagpur. Treasury Bills are issued only by the central government in India. The state governments do not issue any treasury bills. Interest on treasury bills is determined by market forces. T-Bills are issued on discount to face value, while the holder gets the face value on maturity. The return on T-Bills is the difference between the issue price and face value. When referring to the value of financial instruments, There's no difference between par value and face value.

59. With reference to the governance of public sector banking in India, consider the following statements :

1. Capital infusion into public sector banks by the Government of India has steadily increased in the last decade.

2. To put the public sector banks in order, the merger of associate banks with the parent State Bank of India has been affected.

Which of the statements given above is/are correct ?

(a) 1 only (b) 2 only
(c) Both 1 and 2 (d) Neither 1 nor 2

Ans. (b) : Statement (1) is not correct as a capital infusion into public sector banks by the government of India has not steadily increased in the last decade.
Statement (2) is correct. The merger of SBI associated banks under section 35 of the State Bank of India Act, 1955 will result in the creation of a stronger merged entity. This will minimize vulnerability to any geographic concentration risks faced by subsidiary banks. It will create improved operational efficiency and economies of scale. it will also result in improved risk management and unified treasury operations.

60. Consider the following items :

1. Cereal grains hulled
2. Chicken eggs cooked
3. Fish processed and canned
4. Newspapers containing advertising material

Which of the above items is/are exempted under GST (Goods and Services Tax) ?

(a) 1 only (b) 2 and 3 only
(c) 1, 2 and 4 only (d) 1, 2, 3 and 4

Ans. (c): Goods and Services Tax (GST) council has exempted cereal grains hulled and chicken eggs cooked. Newspapers containing advertising material : 0% GST rate. However fish processes canned 5% GST. Hence statement 1,2,4 are correct.

• Foreign Trade and Economic Organization of India, Stock Exchange

61. Consider the following statements:

1. The quantity of imported edible oils is more than the domestic production of edible oils in the last five years.

2. The Government does not impose any customs duty on all the imported edible oils as a special case.

Which of the statements given above is/are correct?

(a) 1 only (b) 2 only
(c) Both 1 and 2 (d) Neither 1 nor 2

Ans. (a): India occupies a prominent position in the world oilseeds industry with the contribution of around 10% in worldwide production. But the demand of edible oils (extracted from oilseeds in addition to palm oil) is significantly higher than the domestic production, leading to dependence on imports (60% of requirement). Statement (1) is correct.

- Government imposes customs duty on edible oils to safeguard the interests of domestic oil crushing industry. The duty on two major edible oils, namely crude sunflower seed oil and crude canola/ rapeseed/ mustard is 25 percent. While crude soyabean oil attracts 30 percent duty. Statement (2) is not correct.

SCIENCE

• Physics

62. Consider the following phenomena :

1. Light is affected by gravity.
2. The Universe is constantly expanding.
3. Matter warps its surrounding space-time.

Which of the above is/are the prediction/ predictions of Albert Einstein's General Theory of Relativity, often discussed in media ?

(a) 1 and 2 only (b) 3 only
(c) 1 and 3 only (d) 1, 2 and 3

Ans. (d): General relativity predicts radical things, such that light is deflected by gravity. It also predicts black holes. It showed that space and time are malleable as flexible, and ever- expanding, which basically predicted that our universe was ever expanding.

• Biology

63. Which of the following leaf modifications occur(s) in the desert areas to inhibit water loss?

1. Hard and waxy leaves
2. Tiny leaves
3. Thorns instead of leaves

Select the correct answer using the code given below:

(a) 2 & 3 (b) 2 only
(c) 3 only (d) 1, 2 & 3

Ans. (d): Leaf modifications of desert plant place to minimize the water loss for adaptations and survival of desert plant.

- Wax coating on leaves prevents water loss through evaporation, which in the hot desert can cause loss of water from both the surface and the inside of leaves.
- Many cacti have spines in place of leaves, which conduct photosynthesis and catch dew when the climate is suitable. These small structures also reflect tiny light leaves, further reducing water loss. During heavy rains, cacti will grow temporary root systems and absorb water.

64. Consider the following :

1. Birds **2. Dust blowing**
3. Rain **4. Wind blowing**

Which of the above spread plant diseases?

(a) 1 and 3 only (b) 3 and 4 only
(c) 1, 2 and 4 only (d) 1, 2, 3 and 4

Ans. (d): Nematodes, snails, birds and wild and domestic animals after help dissemination of plant diseases. The spores of many parasitic fungi are disseminated by air currents from diseased to disease - free host pathogens like bacteria are often disseminated by the splashing of raindrops, as in the case of citrus canker disease.
Soil and field operations also disseminate the diseases as they result in dust blowing.

• Agriculture, Animal Husbandry and Dairy

65. With reference to the circumstances in Indian agriculture, the concept of "Conservation Agriculture" assumes significance. Which of the following fall under the Conservation Agriculture?

1. Avoiding the monoculture practices
2. Adopting minimum tillage
3. Avoiding the cultivation of plantation crops
4. Using crop residues to cover soil surface
5. Adopting spatial and temporal crop sequencing/crop rotations

Select the correct answer using the code given below: